

ERPNext is a modern tool that covers accounting, HR, inventory, billing, quotes, leads, payroll, etc. It can be downloaded and installed from <https://erpnext.com/download>. The image can be downloaded from <https://erpnext.com/downloads/ERPNext-020415.ova>. After installing and creating a project, the home screen that appears will look like what's shown in Figure 1.

We all know that accounts are the backbone of any institution; so let's start with what ERPNext has to offer in this field. The accounts part of the package contains Journal Entry, Sales Invoice, Chart of Accounts, Making Payments, Accounting Reports, Item-wise Tax, Point of Sales invoices, and many more features. All types of entries other than sales invoices and purchase invoices are done using Journal Entry. To create a Journal Entry one has to go to *Accounts -> Documents -> Journal Entry -> New* (Figure 2).

Payments made against Sales Invoices or Purchase Invoices can be entered by clicking on the 'Make Payment Entry' button on 'Submitted' invoices. The credit limit is also built into this. The credit limit is the maximum amount of credit that a financial institution will extend to a debtor for a specific line of credit. This can be achieved by going to *Selling -> Document -> Customer*.

Stock maintenance is also very important in ERP, and this has been thoroughly dealt with in this tool. If we want to request for material, then we must go to *Stock -> Documents -> Material request -> New*. The material request is categorised into three types—*Purchase* (if the requested material is to be purchased), *Transfer* (if the material is to be transferred from one warehouse to another) and *Issue* (if the material is to be issued)—to ease the process. The Stock entry is used to record the transfer of an item from one warehouse to another. When shipment is made from the warehouse, a delivery note is generated. The warehouse, being the most important part of 'Stock', must be under constant scrutiny and for this, one can go to *Stock -> Warehouse*. In ERPNext, every warehouse must belong to a specific company, in order to maintain company-wise stock balances. Warehouses are saved with their respective company's abbreviations. This helps to identify which warehouse belongs to which company, at a glance.

Moving on to customer relations management, ERPNext's CRM module contains leads, customers, opportunities, campaigns and many other features. Leads are important because they help a company to make a sale. Since there are multiple contacts and addresses for a customer or supplier, these leads are stored separately in ERPNext. Even the campaign is managed in the *Campaign* tab and tracked via the *Leads* UI.

The buying and selling of goods is also managed, and here the user can generate quotations for clients as well as keep a track of supplier's quotations. The Sales Order confirms your sales and triggers purchase (Material Request), shipment (Delivery Note), billing (Sales Invoice) and manufacturing (Production Plan).



Figure 1: Home ERPNext

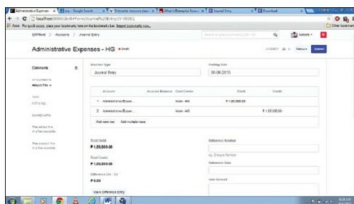


Figure 2: Journal

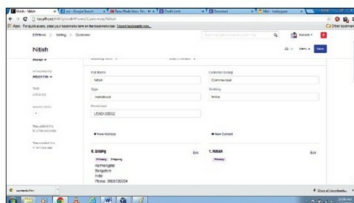


Figure 3: Customer

Another important aspect in the ERP is human resource management. Right from the planning of resources to the attendance and the leave report, everything is well integrated into this system. New employees can be added from *Human Resource -> Employee -> New* as shown in Figure 4.

When employees spend some money from their own pocket for official purposes, they can claim these by raising a new expense claim. The salary and payroll is also well integrated in this ERP. The Salary Structure represents how Salaries are calculated based on Earnings and Deductions. To process Payroll in ERPNext, one has to first create Salary Structures for all Employees, then generate salary slips via the salary management tool, and then book the salary in the respective accounts. By creating